



Project Information Document (PID)

Concept Stage | Date Prepared/Updated: 10-Jun-2021 | Report No: PIDC31680

**BASIC INFORMATION****A. Basic Project Data**

Country Horn of Africa	Project ID P176517	Parent Project ID (if any)	Project Name De-risking, inclusion and value enhancement of pastoral economies in the Horn of Africa (P176517)
Region AFRICA EAST	Estimated Appraisal Date Jan 20, 2022	Estimated Board Date Mar 31, 2022	Practice Area (Lead) Finance, Competitiveness and Innovation
Financing Instrument Investment Project Financing	Borrower(s) Ministry of Finance, National Treasury and Planning, Ministry of Finance, Ministere des Finance	Implementing Agency Ministry of Trade and Industry, Ministere des Finances, Ministry of Commerce and Industry	

Proposed Development Objective(s)

The regional project will enhance de-risking, financial inclusion and value addition of pastoral economies in the HoA.

PROJECT FINANCING DATA (US\$, Millions)**SUMMARY**

Total Project Cost	290.00
Total Financing	290.00
of which IBRD/IDA	250.00
Financing Gap	0.00

DETAILS**World Bank Group Financing**

International Development Association (IDA)	250.00
IDA Credit	198.00



IDA Grant	52.00
Non-World Bank Group Financing	
Trust Funds	40.00
Disaster Risk Financing and Insurance	40.00
Environmental and Social Risk Classification Substantial Concept Review Decision Track II-The review did authorize the preparation to continue	

B. Introduction and Context

Country Context

- The Horn of Africa (HoA) is amongst the poorest and most fragile regions in the world.** The HoA includes the 8 countries that are member of the Intergovernmental Authority on Development (IGAD)¹. Most countries in the HoA are poor and extreme poverty is significant in the border regions. At the close of 2018, the countries in the HoA were hosting 3.9 million refugees or people living in refugee-like situations; and an estimated 8.95 million were internally displaced people.² There is a high and rising level of undernourishment in the region, amounting to 27 percent of the regional population and expected to grow to 34 percent by 2030 (FAO).
- Several countries have come together to strengthen regional cooperation and address global challenges within the “Horn of Africa Initiative”.** These are Djibouti, Eritrea, Ethiopia, Kenya and Somalia, (“small Horn”) with a total area of around 2.5 million square kilometers, a population of 180 million and a combined GDP of around US\$205 billion. The Initiative is supported by the African Development Bank (AfDB), the European Union (EU) and the World Bank Group (WBG). Over 70 percent of the population lives in rural areas, where poverty is concentrated. As per available estimates, the population of the five countries is expected to grow to around 250 million by 2030 – implying the sub-region will have a net addition of about 70 million people between 2017 and 2030, an increase of around 40 percent. The sub-region has shared social and ethnic kinship, historical trade and cultural affiliations with the rest of the world and has some of the oldest and complex civilizations. The proposed project would cover Djibouti, Ethiopia, Kenya and Somalia, and potentially Sudan once they join the HoAI.
- The HoA has vast rangelands, with a large pastoral and agro-pastoral population.** In the eight HoA countries, one fifth of the total population is made up of pastoralists or agro-pastoralists, i.e. around 50 million people. Their main source of livelihood is the rearing of livestock, mostly in open grazing rangelands in the semi-arid areas. These rangelands cover most of the land mass in the region.
- Pastoralists are among the poorest population groups in the HoA countries.** For example, in Kenya, pastoralist communities score far lower than the country average across the board for all development indicators. In Somalia, the

¹ Djibouti, Eritrea, Ethiopia, Kenya, Somalia, South Sudan, Sudan, and Uganda.

² World Bank Group, From Isolation to Integration: The Borderlands of the Horn of Africa, 2020 (“Borderlands Report”).



nomadic regions where most pastoralists reside has a staggering 99 percent of people classified as poor. In Ethiopia, a 2013 study of pastoralist livelihoods in one region found all surveyed households to be living below the international poverty line of US\$2.³

5. The region is exposed to disasters, amplified by climate change, and recurrent severe droughts are a key factor to poverty in pastoral economies. From 2008 until 2011, a series of large-scale droughts hit the HoA countries. The 2011 drought was particularly severe and led to major humanitarian interventions in Djibouti, Ethiopia, Kenya, Somalia and the Karamoja region of Uganda – over 10 million people required urgent food assistance (OCHA 2011). Prices for food rose significantly, e.g. grain prices in Kenya were 30-80 percent higher than average. From 2015 until 2017, another series of severe droughts hit the region. The 2015 one was induced by the El Niño weather phenomenon and immediately followed in 2016 by a La Niña-type drought event. By July 2017, close to 20 million people were facing acute food insecurity (USAID 2017). Droughts degrade rangelands, deplete livestock, and lead to underinvestment. Underinvestment lowers pastoral productivity and keeps pastoralists into a poverty trap. Countries in the region are exposed to other shocks but droughts have historically impacted significantly more people than any other disaster event.

Sectoral and Institutional Context

6. Pastoral economies rely heavily on livestock production. In most countries, livestock contributes considerably more than one third of agricultural GDP (in Djibouti and Somalia more than 80 percent; average 53 percent for all countries), and pastoralists are the main source of meat and milk products. Ethiopia has the largest national livestock herd in Africa with an estimated 128.6 million head of animals in 2018, followed by Sudan (108.8 million animals). Somalia has the largest camel population in the world. Kenya and Uganda also have large livestock herds.

7. The impact of the COVID-19 pandemic has been severe. According to in-country livestock experts, the main impact have been: (i) restrictions on mobility and market closures leading to reduced access to livestock inputs such as vaccines and veterinary services - as per a Mercy Corps study of Somali region in Ethiopia, livestock-keeping households lost about 20-40 percent of their income between March and May 2020 as markets were closed; (ii) border closures leading to restricted options for pastoralists to sell their animals to international markets; (iii) rising food prices; and (iv) reduced provision of agricultural extension services. In some cases, the impacts of COVID-19 have been exacerbated by compound shocks such as floods and locust invasions.

8. The regional livestock trade has generally been buoyant but is mainly unrecorded and focused on live animals. Livestock trade represents one of the few economic success stories in the Horn of Africa (Little, 2020). Annual exports from the Horn are estimated at close to US\$ 1 billion. Around 50 to 60 percent of livestock from northern Somalia (including Somaliland) are informally sourced from Ethiopia and they often follow trade corridors based on clan relations. This informal cross-border trade is vital to the formal export business in Somalia, which exports more than four million live animals in some years. The destination market is mainly the Middle East and is concentrated in the annual Haj season. The trade also contributes to a large import business, as many export traders either sell foreign exchange to importers or themselves import food, clothes and other products through Somali ports. Many of these products are then informally traded across the border to Ethiopia. Economic factors (cost, custom compliance, waiting times) are considered the main driver of informal trade, but there are also infrastructure and socio-cultural factors. This trade is highly vulnerable to disease outbreaks.

9. The livestock value chains are dominated by traders, with limited benefits going to the pastoral producers. Pastoralists are not well integrated into the value chains as they operate in remote regions and are often on the move.

³ Information taken from the DIRISHA study, 2021 (forthcoming).



Beyond the number of intermediaries, many reasons explain the limited value derived by producers who sell live animals, including: (i) lack of quality infrastructure⁴ to trace livestock and ensure standards; (ii) limited resources for disease control; (iii) transport systems (trucking or trekking) which stress animals and lower their weights and thus the price fetched at livestock markets; (iv) irregular sale patterns where pastoralists tend to sell when they need to pay school or medical fees, or at the onset of drought when price are lowest, and not sell when rains are good; (v) lack of public livestock price information resulting in an asymmetry of information between traders and producers, for example in Kenya the Garissa livestock market's prices are reportedly double what is offered to the pastoralists. Some of those reasons can be addressed by services and infrastructure, but others are deeply rooted in cultural behaviors and traditions.

10. Access to credit for pastoral producers is limited. Financial institutions operate in pastoral areas, although branches may be located far from herders' markets. In Kenya, Equity bank, Cooperative Bank, KCB and NBK have established branches in Lodwar, Marsabit and West Pokot. Microfinance institutions (MFIs), SACCOs, mobile and agent banking operate in the pastoral areas of Kenya, Ethiopia and Somalia. Pastoralists participate in Village Savings and Lending Associations (VSLAs) to mobilize their savings and use safe boxes. However, they have limited access to credit from formal financial institutions due to the lack of collateral, lack of commercial business, lack of identification, and difficulty to follow loan defaulters. The irregular production of livestock due to droughts makes it difficult for banks to assess the ability of pastoralists to repay loans. Pastoral land is communal and cannot be charged as collateral. Some commercial banks and MFIs piloted two approaches to overcome the problem of collateral using restocking schemes and guarantors. In Ethiopia, restocking showed a high repayment rate. One NGO (ADESO) used guarantors to provide loans to groups; however few banks have adopted this scheme at the branch level in Ethiopia. In terms of the eligibility criteria, identification cards as part of the "Know your Customer" requirements represent a challenge. Some border area dwellers have dual identification cards from both Ethiopian and Somaliland that could create a problem.

11. Livestock value chains face a myriad of challenges depending on the country. For instance: in Somalia, the entire system of quality infrastructure to trace livestock and ensure consistency of quality standards is missing; the Bureau of Services in charge of quality infrastructure was just launched in March 2021. In Kenya, there is a lack of investment in cattle fattening systems, but also issues with the cattle breeds of pastoralists. In Ethiopia, the livestock for meat is mainly sold through informal markets and a significant amount is smuggled across borders to Somalia and Djibouti.

12. The project would make pastoralists more resilient to drought with a suite of financial services and enhance the competitiveness of the livestock value chains. It would scale up drought insurance (also called Index Based Livestock Insurance – IBLI) to protect pastoral producers against drought, together with financial services (savings, credit) to allow producers to keep investing in their herds and break the low investment-low productivity cycle. The project would seek to better integrate pastoral producers into the livestock value chains, upgrading those with trade and quality infrastructure and mobilizing private investment.

13. The project would complement various interventions to strengthen the resilience of pastoral production systems. These interventions will be targeted toward enhancing the provision of water, fodder and animal health services in pastoral areas, increasing the awareness to shocks with early warning systems, supporting better rangeland management, and support pastoral production and savings groups with business development services. Those interventions provide a fertile ground for the proposed project, which would target the same locations to ensure an integrated approach. For instance, the Bank's AG GP has ongoing operations in the region benefitting pastoralists

⁴ Quality infrastructure includes standardization, accreditation, metrology and conformity assessment (testing, inspection, product certification), all which provide a common technical language for trading partners. Adherence to international product standards and certification regimes is critical to access regional and global markets and extract more value from livestock rearing.



(Regional Pastoral Livelihoods Resilience Project, Ethiopia Lowlands Livelihood Resilience Project, Kenya Climate Smart Agriculture). The project will complement them by focusing on de-risking, access to financial services and mobilizing private sector into the livestock value chains to enhance competitiveness.

14. The project is designed as a regional intervention to benefit from economies of scale, specialization, support for trade facilitation and enhanced collaboration thus ensuring countries gain higher value than each acting alone (Box 1). There is a strong rationale for providing drought insurance/risk financing at a regional level, to lower the cost for individual countries by pooling risk, data and sharing risk infrastructure. Investing in regional capacity in this technically complex area, also yields specialization benefits, that would be difficult to achieve country by country. This approach is also more likely to attract private sector investment. Quality and trade infrastructure can be better provided at a regional level or in a concerted manner between the border countries given the significant investments required, and the location at border crossings. The investments planned under the Pillar 1 of the HoAI (transport, energy, digital) will open up transit corridors and benefit the livestock trade, thus enabling the development of a regional value chain.

Relationship to CPF

15. The project is strongly aligned with the Africa Regional Integration Strategy. The Regional integration strategy (FY18-23) highlighted the importance of leveraging the private sector for investing in regional value chains along key economic corridors and underscored development of functioning regional markets as part of the strategic priorities. Following COVID-19 and developments over FY18-FY20, the strategy was updated to include a pillar on Promoting Trade and Market Integration, which the project supports.

16. The project supports the Green, Resilient and Inclusive Recovery (GRID). The GRID approach posits that poverty and climate change are interrelated and need to be addressed simultaneously and systematically. The de-risking and finance component leverages digital and satellite technology to help pastoralists adapt to climate change which brings increased climatic uncertainty. Instead of relying on humanitarian assistance which arrives too late, pastoralists would receive insurance payouts at the onset of drought allowing them to purchase supplies to keep their animals alive. The entire component 1 is expected to generate adaptation climate Co-Benefits.

17. The project contributes to the Private Capital Mobilization agenda. The component 1 on de-risking and finance will mobilize the capital of private (re)insurance companies (local and international) which will underwrite drought insurance for pastoralists. As insurance will be part of a broader package of financial services including savings and credit, this will leverage resources from microfinance institutions or microfinance banks in the case of credit. The component 2 will aim to mobilize private capital in the regional livestock value chains from private firms, by providing seed capital to private investment when such investment makes commercial sense but is inherently risky given the target groups it seeks to benefit (pastoralists and agro-pastoralists).

18. Finally, the project complements the IFC HoA Livestock Sector Approach. IFC has developed a regional strategy for the HoA to create markets for livestock and livestock products, with a focus on red meat. The activities to upgrade livestock value chains through this project will be coordinated with the IFC. The Bank and IFC teams are in the process of defining joint interventions, using ongoing IFC advisory activities or investments to inform the public investments or financial support required to mobilize private capital into the livestock value chains. This joint approach ensures that any public investment is made with the specific purpose of supporting private investment.



C. Proposed Development Objective(s)

The regional project will enhance de-risking, financial inclusion and value addition of pastoral economies in the HoA.

Key Results (From PCN)

- Increase in the number of pastoral production groups having access to financial services, de-risking and capacity building (access to markets, skills, technology), disaggregated by gender.
- Increase in the production value and trade value of selected pastoral production groups.
- Number of regional trade facilitation activities successfully implemented.
- Value of private capital mobilized by the project (capital at risk from private insurers, and private investment mobilized).

D. Concept Description

Component 1: De-Risking and Finance (US\$125 million)

19. The component will scale up financial protection for pastoralists across the HoA with a cost-effective package of financial products and services, including insurance, savings and (contingent) credit. To meet the needs of the pastoralists and provide cost-effective protection, the best financial products would be a mix of insurance and banking (credit and savings) products. Based on extensive learning the products should be developed with the following dimensions: (i) clear and transparent triggers that determine how/when financial disbursement will be made (set based on when there is need due to drought conditions), (ii) financing secured at the lowest cost as a result of an optimal mix of risk retention (savings and credit) and risk transfer (insurance), and (iii) disbursement systems in place to ensure that the finance reaches the pastoralists in a timely and transparent manner (for example this could be mobile payment systems that automatically make payments when triggers reached). The component will support the growth and development of the local financial markets to develop the products and explore opportunities for targeting and embedding products as a complementary package.

20. Drought index insurance (also called Index Based Livestock Insurance- IBLI) is an existing financial product which will be scaled up under the program. The insurance is enabled by satellite technology which monitors the conditions of pasture on the ground such that when the level of pasture falls below a certain level, the insurance payout is triggered automatically, and pastoralists receive payouts directly through mobile money. The advantage is to provide rapid insurance payouts at the onset of a drought, which are faster than humanitarian assistance and allow pastoralists to keep their animals alive. 20,000 households in Northern Kenya and 30,000 households in the Somali and Oromia (Borana area) regions of Ethiopia currently benefit from this product. The product targets vulnerable pastoralists, capping the coverage of the insurance supported by public funding to 5 Tropical Livestock Unit (5 cows equivalent). A 2021 technical feasibility study found that a drought index insurance is suitable for 53 percent of the HoA territory based on rangeland and weather conditions, where 60 percent of livestock are located. Insurance can act as an entry point for greater financial inclusion, so that it is offered with other financial services of value for pastoralists (like savings and credit).

21. The process to scale-up will be driven by sustainability. Learning lessons from the programs in Ethiopia and Kenya, the implementation of this component will have the following features to enhance sustainability.

- Aggregation: the component will target production groups/cooperatives – as opposed to individuals – to
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link the insurance and financial services with the improvement in productivity (such as existing Village Savings and Loan Associations - VSLAs). If pastoralists see the value of insurance and finance in maintaining their investment and productivity in times of drought, they will be more inclined to contribute to the premium cost. Box 2 provides examples of potential beneficiaries. The aggregation principle would also apply for the financial services provided, as insurance would be an entry point to greater financial inclusion, being offered with savings, credit, and/or data services to provide more value for production groups. For instance, the Ethiopia drought insurance program has increased the number of people eligible to access credit from microfinance institutions. During preparation the team will assess the appropriate product mix to support risk financing for pastoralist groups against drought – in addition to drought insurance, incentivized savings products and/or de-risked emergency credit products could provide strong outcomes that helps prevent loss of livestock assets through timely financial support provided based on triggers.

- **Private sector driven approach:** private sector consortia made of financial institutions, insurance companies and distributors would bid for premium and finance grants based on their proposed estimates on the number of groups they intend to reach and the type of services they plan to provide. Key criteria would be the impact of the package of financial services offered on improving the groups' productivity, financial inclusion outcomes (greater savings and credit access), and a plan to ensure sustainability of the product once the project ends. The premium support would gradually decrease over time to ensure that private sector consortia have the incentives to expand the product themselves, and that the beneficiaries effectively contribute. The project will support a transition to progressively higher cost coverage of the premium by the beneficiaries. A bidding process open to any consortia with strong business proposals to meet the eligibility criteria would provide a transparent approach and incentivize the private sector to come forward.
- **Regional implementation:** It is intended that a regional entity will implement the component on behalf of the countries. This entity will make financial protection one of its lines of business, which will ensure the sustainability of service provision after the project ends. It would manage the flow of funds in a transparent process and provide the risk infrastructure necessary for each country program to scale up. The entity would help build the capacity of the private sector to offer products with a regional data repository widely available, awareness creation programs and peer-to-peer learning, especially in countries where financial markets are undeveloped. The entity could also provide reinsurance services to the program.

22. Awareness creation and financial literacy to beneficiaries will be a key component of the program. Lessons from existing programs have shown the importance of ensuring the awareness of the beneficiaries on how the product works to support uptake. The project will support financial education and outreach program to women groups to address some of the gender gaps identified.

23. This component will be supported by global engagements and funding for Disaster Risk Finance. The Bank is working with other partners such as the European Satellite Agency on the development of a new generation of drought indices to improve their reliability. The Global Risk Financing Facility (GRiF)⁵ is expected to provide grant funding to

⁵ <https://www.globalriskfinancing.org/>



match the countries' IDA contributions to component 1, as it already does for other lending projects in Africa.⁶ Trust fund resources would also build the capacity of the implementing agency for this component, especially on Environmental and Social standards. The Drought Index-insurance for Resilience in the Sahel and Horn of Africa (DIRISHA) program, funded by FCDO, has been conducting technical feasibility study on drought index insurance across the Greater Horn to better understand suitability of such products, technical improvements which can be made, and provide recommendations for product design.

Component 2: Livestock Value Chains and Trade Facilitation (US\$125 million)

24. This component intends to connect pastoralists better to markets and strengthen the livestock value chains. As previously indicated, the targeted beneficiaries are pastoralists who already have some connections to markets but derive limited value from their livestock-rearing activities. The production groups who benefit from component 1 would be linked to investment opportunities generated under component 2. The component will also support private investment in the livestock value chains that can lead to higher incomes for pastoral producers. During preparation, the team will assess the potential investments as there is a trade-off between supporting private investment and targeting communities that breed livestock for their own needs and have a low level of commercial activities. Interviews conducted by the team show that it could take significant time and effort to help pastoral production groups attain a certain level of commercialization.

25. Three types of intervention are contemplated and will be tailored to the needs of each country. This component is intentionally focused to complement existing interventions on pastoral production systems, facilitate livestock trade and mobilize private investment into the livestock value chains. For Djibouti, the activities would be expected to focus on the trade facilitation and trade infrastructure between the port and the quarantines centres in Ethiopia, on the mitigation of potential adverse environmental impacts of the new livestock port terminal, and on the generation of positive spillovers between the international livestock trade route and the local economy.

- **Upgrading quality infrastructure.** The project would fund equipment required to ensure the traceability and food safety of livestock products along the value chain. Such equipment refers to testing facilities, traceability systems, certification services, inspection services and quarantine systems. Quality infrastructure is critical to enable formal trade and enhance the quality of livestock and livestock products, allowing the exports of higher value processed products (meat). For instance, in Somalia, the quality infrastructure ecosystem is incipient which is a significant impediment to developing formal exports of live animals or processed meat. The WBG carried out a diagnostic in August 2020 which provided a detailed roadmap to develop the quality infrastructure system for livestock products in Somalia, and it is currently coordinating with UNIDO on the implementation. In Ethiopia, the National Quality Infrastructure Development Project (P160279) currently supports four agencies on upgrading the quality infrastructure for the export value chains of honey, leather and fruits and vegetables but live animals/red meat are not targeted by the project.
- **Trade facilitation and trade infrastructure.** However, the significant amount of unrecorded trade points to issues of costs, customs, or lack of efficient infrastructure to enable formal trade. The project would support improvements in the trade infrastructure, with a focus on cross-border livestock markets and quarantine

⁶ Recent examples in sub-Saharan Africa include the following, with more in the pipeline: 1) Malawi Social Support for Resilient Livelihoods Project (P169198) - US\$17m, 2) Risk-Transfer Solutions for Enhanced Contingency Financing for Agriculture and Food Security in the Democratic Republic of Congo (P169021) - US\$20m, 3) Mozambique Disaster Risk Management and Resilience Program (P166437) - US\$6m.



facilities. Data infrastructure to better capture livestock trade and prices may also be supported. Lessons learned from the Great Lake Trade Facilitation Project (P151083) show that investments in border facilities and cross-border markets can go a long way in improving the welfare of small-scale and women traders, especially when there is effective coordination between the border countries.⁷ IGAD has established a Regional Network for Quarantines to foster the harmonization of sanitary and phytosanitary standards. Interviews with Ethiopian stakeholders highlighted the lack of quarantine infrastructure in cross-border locations with efficient provision of feed and water or efficient management (as some of the quarantine facilities do not operate to their maximum capacity). Djibouti counterparts highlighted the need to digitize the quarantine certificate to facilitate the transit between the quarantine centers in Ethiopia and the livestock port. The project will also finance trade facilitation measures such as capacity building to eliminate non-tariff trade barriers, and regional coordination of policy and procedural reforms at the targeted border crossings. The project will build on the lessons from the RPLRP.

- Seed capital to attract private investment in the value chains. The project would provide seed capital to de-risk private investments into the livestock value chains, focusing on a few demonstration investments to show that sustainable business models can emerge to benefit pastoralists. Investments would have to be commercially viable, and benefit pastoral producers. Grass-fed meat, camel milk and fodder appear to be promising value chains to attract private investment. For instance in Kenya Laikipia county, the IFC financed in 2019 a feasibility study to establish a public-private investment vehicle to formally integrate communal, pastoralist and small-scale livestock, fodder and crop producers into the grass-fed beef value chain to deliver production levels beyond the current limited output of commercial livestock producers and wildlife conservancies. Likewise, lessons learned from the IFC Luna Export Slaughterhouse project (IFC#37311) which seeks to source goats from pastoral producers highlighted among other issues the need to enhance the quality infrastructure at the private export abattoirs, which the project could support with seed capital.

26. This component will be closely coordinated with the IFC. IFC ongoing or upcoming advisory programs in Ethiopia, Kenya and Somalia will inform the identification of activities required to attract private sector investment.

Legal Operational Policies	Triggered?
Projects on International Waterways OP 7.50	No
Projects in Disputed Areas OP 7.60	No
Summary of Screening of Environmental and Social Risks and Impacts	

Environmental Risk Rating (Substantial)

The project is financial in nature and involves the use of financial services, including for component 1 drought insurance in at least three HoA countries (Ethiopia, Kenya, and Somalia). Component 1 has relatively limited direct impacts and is not expected to have significant indirect and induced environmental impacts. Under component 1, drought index

⁷ A modern livestock border market at Nyamasheke on Lake Kivu, financed by the project, provides for better management and care of animals, especially during the rainy season, supporting larger trade volumes. The growth of cross-border livestock trade is also being accompanied by the increasing exchange of a broader range of goods.



insurance is enabled by satellite technology which monitors the conditions of pasture on the ground such that when the level of pasture falls below a certain level, the insurance payout is triggered automatically. Pastoralists directly receive payouts through mobile money. The advantage is to provide rapid insurance payouts at the onset of a drought, which is faster than humanitarian assistance and allow pastoralists to keep their animals alive. Pastoralists would use insurance payouts to provide for their livestock during the early stages of drought, reducing the need for movement and tensions between pastoral communities. This resource provision is expected to reduce stress on scarce resources, enhance resilience and risk of conflict during droughts when pastoralists cross borders. Component 2 project activities will likely focus on arid and semi-arid lands, but the exact project sites are unknown and will be determined during project preparation. Specific project investments and sub-project locations are expected to be defined during Appraisal and will be assessed further. The DRIVE project will have a number of environmental and social benefits for the pastoralist communities living in target areas. Benefits of components 1 and 2 include support during a drought event, improved transportation of products to markets, reduced travel times, enhanced quality of products, increased safety, etc. Further, local benefits will be derived over the longer term due to the impacts of implementing an ESF system and building capacity. The proposed project involves small scale civil works that entail some environmental risks and impacts. Depending on the project activities that are to be selected and the paths to chosen markets, potential risks could include fragments of wildlife habitats. However, that cannot be assessed until project further assessments and studies are done following the selection of project activities that are still to be finalized (for component 2). Further environmental risks and impacts could include limited clearance of vegetation cover, pollution of water resources, generation of air pollutants, noise, dust, risks to community health and safety, risks to workers' occupational health and safety, etc. Thus, the project's environmental risk rating is substantial at this stage. The environmental risk rating is considered substantial mainly due to component 2 activities and the potential OHS and community health risks, lead to overgrazing, pollution of groundwater and potable water sources.

Social Risk Rating (Substantial)

Social risks for the project will be substantial, resulting from the risk of further marginalization and lack of inclusion of vulnerable groups and minority pastoralist groups. Beneficiary households will contribute to the insurance cover, and the opportunity to be a beneficiary will be open to all households. To ensure sustainability in the provision of drought insurance, the private sector will be incentivized to invest in the program, reach out to potential beneficiaries, and provide a package of services of value for pastoralists (including not only insurance but also savings and credit where relevant). The project will establish an outreach programme using local languages targeting all households in the project area and financial literacy. This will ensure awareness creation so that vulnerable households include minority groups, persons living with the disability, female-headed households, child-headed households, and households living in very remote areas, are aware of the project. Vulnerable groupings will also be defined through a stakeholders' engagement process. In the event of a drought, pastoralists will directly receive payouts through mobile money and other alternative media accessible to pastoralist beneficiary households. The social risk here is that not all pastoralist households will own a mobile phone. Some of the pastoralist areas have poor mobile connectivity that hinders access to these services. To mitigate these, a social assessment will be carried out to project beneficiary households to determine the best methods of processing payments that is accessible. Under component 2, social risks related to the construction of infrastructure are possible, including land acquisition and resettlement impacts. These risks will be further assessed during Appraisal. Social risks and impacts will be covered in the ESMF, prepared, consulted upon and publicly disclosed by project Appraisal. The project will cover a project area with the presence of IPs in Kenya and Ethiopia. Social Assessments based on anthropological studies completed for the project will cover seasonal use of land, cultural, and gender practices. The project will ensure the inclusion of IPs so that they benefit from the project. A social assessment and IPF will be prepared under ESS7. The project will also carry out a gender analysis, and gender will be integrated into the project design. The project has undertaken preliminary gender analysis for pastoralists in the project area to assess differences in access to



assets and control of valuable resources, beliefs and perceptions, practice and participation, institutions, laws and policies related to the thematic area of pastoralism. This analysis has been used to improve the project design. Additional gender analysis and assessments will be included in the preparation of the Social Assessment for the project.

Sexual Exploitation and Abuse/Sexual Harassment (SEA/SH) Risk Rating (Moderate)

The project will not involve the construction of major infrastructure; the proposed works will include trade facilitation and trade infrastructure that will not result in labor influx. Cash payments could lead to an increase in gender-based violence at a household and community-based level. The project will put in place measures for the management of SEA/SH risks. GBV Action Plan will be defined following additional GBV analysis during preparation once the project area is determined. This Action Plan will rely highly on already existing GBV systems in the project area.

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